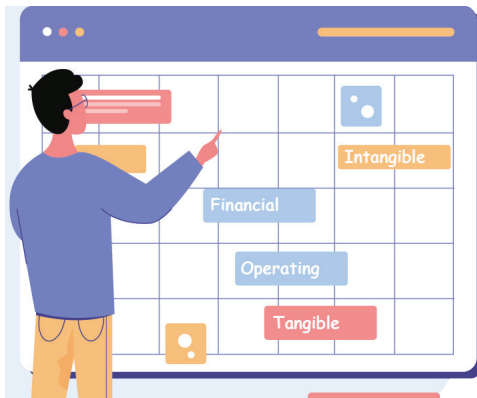


So you need to go through the various line items and understand which are financial items and which are operating assets. So, for example, property plants and equipment, capital work in progress, right-of-use assets, and other intangible assets are operating in nature.



Goodwill and Investment are something which you can count as financial in nature. Next is the financial assets category, which includes loans, investments and other financial assets. Next is the income tax category, which is financial in nature. However, you can also argue that it is operating in nature. In this manner, you need to understand and identify the items that are used in day to day operations of the company i.e. operating items for the company and the ones that are not used in day to day operations i.e. financial items.

In the next unit, we will discuss an important concept: float. It is considered one of the most lucrative sources of financing for any company or business and was first discussed by none other than Mr. Warren Buffet.